AI

Two arrested for smuggling AI chips to China — Nvidia says no to kill switches

Rebecca Szkutak — 6:02 AM PDT · August 6, 2025

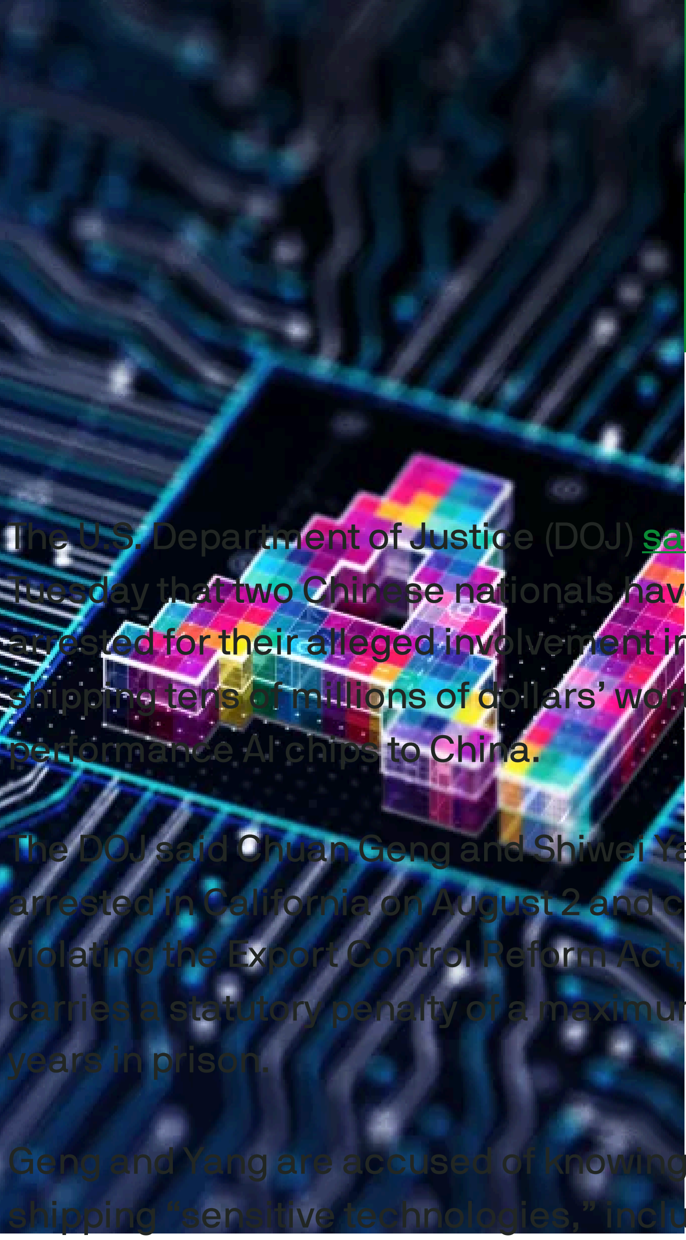

IMAGE CREDITS: BLACKJACK3D / GETTY IMAGES

The U.S. Department of Justice (DOJ) said on Tuesday that two Chinese nationals have been arrested for their alleged involvement in illegally shipping tens of millions of dollars' worth of high-performance AI chips to China.

The DOJ said Chuan Geng and Shiwei Yang were arrested in California on August 2 and charged with violating the Export Control Reform Act, a felony that carries a statutory penalty of a maximum of 20 years in prison.

Geng and Yang are accused of knowing and willfully shipping "sensitive technologies," including GPUs, to China from the U.S. through their California-based company, ALX Solutions.

The DOJ did not name the company whose chips ALX Solutions was allegedly smuggling, but quoting a complaint, it said the chip is "the most powerful chip in the market" and is "designed specifically for AI applications." That description makes it likely that the chips being smuggled were made by Nvidia. A report by Reuters specifically named Nvidia's H100 GPUs as the chips being shipped.

A review of export documents by the DOJ found that ALX Solutions sent chips and other tech to shipping and freight-forwarding companies in Singapore and Malaysia, but received payments from entities in Hong Kong and China in return. The department also found records of communication regarding

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shipping the tech to Malaysia to specifically go around U.S. export restrictions.

"This case demonstrates that smuggling is a nonstarter," an Nvidia spokesperson said in a statement. "We primarily sell our products to well-known partners, including OEMs, who help us ensure that all sales comply with U.S. export control rules. Even relatively small exporters and shipments are subject to thorough review and scrutiny, and any diverted products would have no service, support, or updates."

The news comes as the U.S. tries to figure out how to strike a balance between fostering global AI innovation and imposing export restrictions to China, which many in the West perceive to be a major threat in the AI race. The Trump administration's recently announced AI Action Plan belabored the importance of having strong export restrictions but was light on details.

One potential solution to curb chip smuggling that has been suggested by the U.S. government in recent days is to implement tracking technology into chips to help catch smuggling, but chipmakers are quite opposed to such a move.

In a blog post on Tuesday, Nvidia said its GPUs do not include kill switches or backdoors, and argued that building in such tools would only result in compromising security.

“Nvidia has been designing processors for over 30 years. Embedding backdoors and kill switches into chips would be a gift to hackers and hostile actors,” the company wrote. “It would undermine global digital infrastructure and fracture trust in U.S. technology. Established law wisely requires companies to fix vulnerabilities — not create them.”

“That’s not sound policy. It’s an overreaction that would irreparably harm America’s economic and national security interests,” Nvidia wrote.

Nvidia did not immediately return requests for additional comment.

For more on the semiconductor industry’s tumultuous year so far, here’s a regularly updated timeline of market news since the beginning of 2025.

Topics: AI AI chips chips Enterprise nvidia semiconductor

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Nvidia the latest collateral damage in US-China tech war

Rita Liao 5:58 AM PDT · September 2, 2022

Nvidia, the world's largest maker of artificial intelligence chips, is at the heart of a new round of U.S. tech sanctions targeting China.

Nvidia noted in an SEC filing that the U.S. government had imposed new export restrictions on two of its most advanced AI chips to China, including Hong Kong, its second-largest market after Taiwan making up 26% of its revenues in 2021.

The ban could cost Nvidia as much as $400 million in potential sales to China in the third quarter, the firm said.

The export control also bars Nvidia from shipping the chips to Russia, though the company said it doesn't currently sell to the country.

The U.S. government said the move "will address the risk that the covered products may be used in, or diverted to, a 'military end use' or 'military end user' in China and Russia." But the ban is in practice crimping a wide array of businesses and organizations using the silicons beyond military purposes.

The two chips in question are the Nvidia A100 and H100 graphic processing units. A100 is designed to provide high-performance computing, storage, and networking capabilities for industries spanning healthcare, finance, and manufacturing, explains Chinese e-commerce and cloud computing giant Alibaba, a user of A100.

H100 is the firm's upcoming enterprise AI chip that is expected to ship by the end of this year and has part of its production done in China.

Complexities

There's a silver lining — Nvidia's engagement with China won't be completely severed. The U.S. government has granted permission for the firm to keep manufacturing H100 in China, Nvidia said in a later filing, though purchases by Chinese customers will still be restricted.

The updated authorization also allows Nvidia to keep exporting A100 to its U.S. customers with data centers in China through March 1, 2023.

The more ambiguous terms concern the role of Hong Kong, which is included in the original ban. "The U.S. government authorized A100 and H100 order fulfillment and logistics through the Company's Hong Kong facility through September 1, 2023," the document reads. It's unclear whether Chinese customers can access these chips through the former British colony.

Ripple effects

The U.S.'s move to bar China's access to its high-end technologies has in turn accelerated the latter's pursuit of independence. Huawei has been doubling down on smartphone chip development ever since Washington put it on an export blacklist over national security concerns in 2019. A swathe of domestic semiconductor startups is netting hefty investments from VCs and government-guided funds.

While China may still be a generation behind in producing the most sophisticated chips, the country is gradually sharpening its edge in lower-end, specialized semiconductors, such as neural processing units meant to boost phone camera capabilities.

The licensing requirement may also trigger an exodus of Nvidia's China-based talent, which would likely go on to work for domestic alternatives if they weren't able to relocate overseas. As the firm noted in its filing, the ban "may require the Company to transition certain operations out of China."

Taiwan's TSCM, the world's largest contract chip maker, also stands to lose from the export control as it does a lot of manufacturing for Nvidia.

The Chinese government has condemned the ban, described as "sci-tech hegemony" by foreign ministry spokesperson Wang Wenbin in a regular press conference on Thursday.

"The US seeks to use its technological prowess as an advantage to hobble and suppress the development of emerging markets and developing countries. This violates the rules of the market economy, undermines international economic and trade order, and disrupts the stability of global industrial and supply chains. China firmly rejects it."

Updated with more analysis.

[Nvidia's limited China connections](#)

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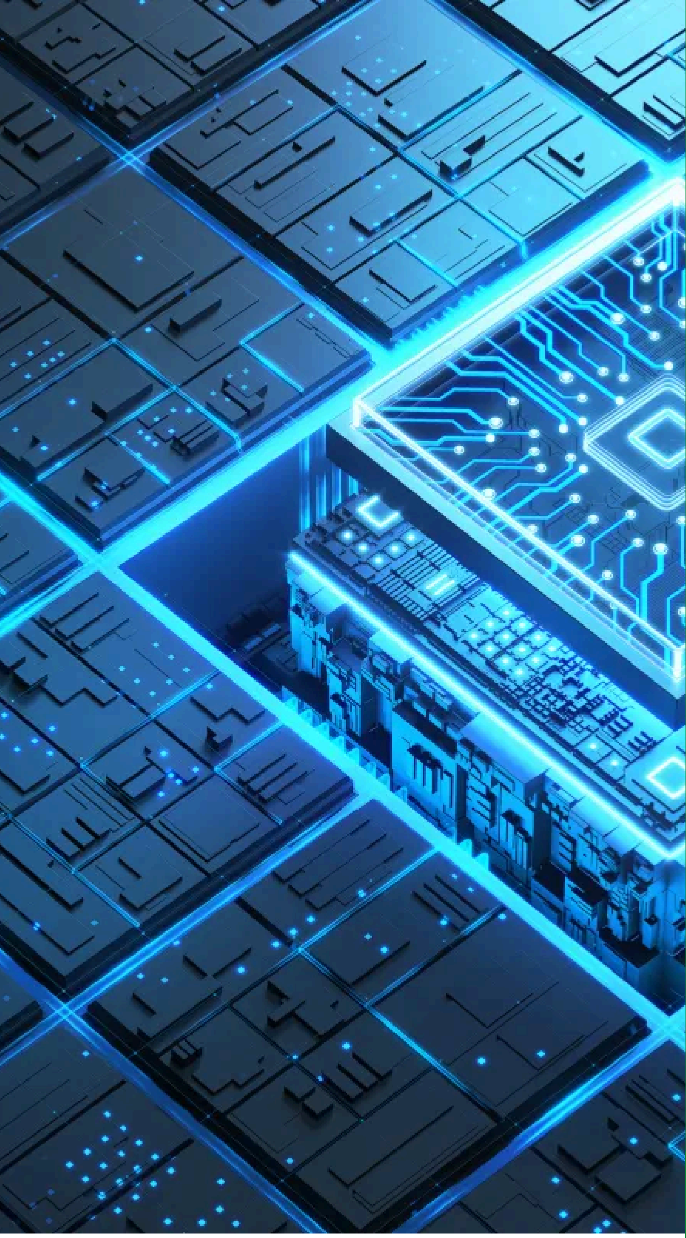

IMAGE CREDITS: YUICHIRO CHINO / GETTY IMAGES

AI

A timeline of the US semiconductor market in 2025

Rebecca Szkutak — 10:01 AM PDT · July 25, 2025

It's been a tumultuous year for the U.S. semiconductor industry.

The semiconductor industry plays a sizable role in the "AI race" that the U.S. seems determined to win, which is why this context is worth paying attention to: from Intel's appointment of Lip-Bu Tan to CEO — who wasted no time getting to work trying to revitalize the legacy company — to Joe Biden proposing sweeping new AI chip export rules on his way out of office that never came to fruition.

Here's a look at what's happened so far in 2025.

Latest in AI

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July

Intel continues to look for efficiency

July 24: Intel announced that it was pulling back on some of its manufacturing operations. The company will no longer pursue its previously announced projects in Germany and Poland and is consolidating its test operations. Intel also announced it plans to end this year with around 75,000 employees.

Trump's AI Action Plan

July 23: The Trump administration unveiled its much-anticipated AI Action Plan alongside multiple related executive orders. While the plan includes a lot regarding the need for U.S. chip export controls, and for the U.S. to coordinate with its allies on this effort, it doesn't provide any concrete information on what these restrictions would look like.

Groundbreaking UAE AI deal reportedly on hold

July 17: The Trump administration helped foster a groundbreaking deal in May that resulted in a commitment from the United Arab Emirates to buy billions of dollars' worth of AI chips from Nvidia. But now that deal is reportedly on hold as the U.S. works through national security concerns and fears that those chips could be smuggled from the Middle East to China.

Nvidia is a bargaining chip

July 16: A day after semiconductor firms like Nvidia and AMD got the green light to resume selling certain AI chips to China, we found out why. U.S.

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Commerce Security Howard Lutnick said the plans to allow U.S. companies to start selling AI chips in China is tied to ongoing trade discussions between the U.S. and China regarding rare earth elements.

U.S. chips head back to China

July 14: Nvidia said it was filing an application to restart sales of H20 AI chips in China, confirming rumors from a few weeks prior. The company also announced that it would be selling a new chip, the RTX Pro, which was designed specifically for the Chinese market.

Malaysia fights chip smuggling

July 14: Malaysia announced that it was launching trade permits for U.S.-made AI chips. Under this new restriction, any individual or business would need to give the Malaysian government 30 days notice before exporting any U.S. AI chips.

June

Intel appoints new leadership

June 18: Intel announced four new leadership appointments that Intel says will help it move toward its goal of becoming an engineering-first company again. Intel announced a new chief revenue officer in addition to multiple high-profile engineering hires.

Intel to begin layoffs

June 17: Intel will begin to lay off a significant chunk of its Intel Foundry staff in July. The company plans to eliminate at least 15%, and up to 20%, of workers in that business unit. These layoffs aren't a shock: It was rumored back in April, and Intel's CEO Lip-Bu Tan has said he wants to flatten the organization.

Nvidia won't report on China

June 13: Nvidia isn't counting on the U.S. backing off of its AI chip export restrictions anytime soon. After the company took a financial hit from the newly imposed licensing requirements on its H20 AI chips, Nvidia CEO Jensen Huang said the company will no longer include the Chinese market in future revenue and profit forecasts.

AMD acquires the team behind Untether AI

June 6: AMD makes another acquisition — this time focused on talent. The company acqui-hired the team behind Untether AI, which develops AI inference chips, as the semiconductor giant continues to round out its AI offerings.

AMD is coming for Nvidia's AI hardware dominance

June 4: AMD continued its shopping spree. The company acquired AI software optimization startup Brium, which helps companies retrofit AI software to work with different AI hardware. With a lot of AI software being designed with Nvidia hardware in mind, this acquisition isn't surprising.

May

Nvidia lays out the impact of chip export restrictions

May 28: Nvidia reported that U.S. licensing requirements on its H20 AI chips cost the company $4.5 billion in charges during Q1. The company expects these requirements to result in an $8 billion hit to Nvidia's revenue in Q2.

AMD acquires Enosemi

May 28: AMD kicks off its acquisition spree. The semiconductor company announced that it acquired Enosemi, a silicon photonics startup. Enosemi's tech, which uses light photons to transmit data, is becoming an increasing area of interest for semiconductor companies.

Tensions start to flare between China and the U.S.

May 21: China's Commerce Secretary didn't like the U.S.'s guidance, issued on May 13, that warned U.S. companies that using Huawei's AI chips "anywhere in the world" was a U.S. chip export violation. The commerce secretary issued a statement that threatened legal action against anyone caught enforcing that export restriction.

Intel may be starting to offload its non-core units

May 20: Intel CEO Lip-Bu Tan seemingly got right to

issue new guidance in the future, and in the meantime companies should remember that using Huawei's Ascend AI chips anywhere in the world is a violation of U.S. export rules.

A last-minute reversal

May 7: Just a week before the "Framework for Artificial Intelligence Diffusion" was set to go into place, the Trump administration plans on taking a different path. According to multiple media outlets, including Axios and Bloomberg, the administration won't enforce the restrictions when they were supposed to start on May 15 and is instead working on its own framework.

April

Anthropic doubles down on its support of chip export restrictions

April 30: Anthropic doubled down on its support for restricting U.S.-made chip exports, including some tweaks to the Framework for Artificial Intelligence Diffusion, like imposing further restrictions on Tier 2 countries and dedicating resources to enforcement. An Nvidia spokesperson shot back, saying, "American firms should focus on innovation and rise to the challenge, rather than tell tall tales that large, heavy, and sensitive electronics are somehow smuggled in 'baby bumps' or 'alongside live lobsters.'"

Planned layoffs at Intel

April 22: Ahead of its Q1 earnings call, Intel said it was planning to lay off more than 21,000 employees. The layoffs were meant to streamline management, something CEO Lip-Bu Tan has long said Intel needed to do, and help rebuild the company's engineering focus.

The Trump administration further restricts chip exports

April 15: Nvidia's H20 AI chip got hit with an export licensing requirement, the company disclosed in an SEC filing. The company added it expects $5.5 billion in charges related to this new requirement in the first quarter of its 2026 fiscal year. The H20 is the most advanced AI chip Nvidia can still export to China in some form or fashion. TSMC and Intel reported similar expenses the same week.

Nvidia appears to talk its way out of further chip exports

April 9: Nvidia's CEO Jensen Huang was spotted attending dinner at Donald Trump's Mar-a-Lago resort, according to reports. At the time, NPR reported Huang may have been able to spare Nvidia's H20 AI chips from export restrictions upon agreeing to invest in AI data centers in the U.S.

An alleged agreement between Intel and TSMC

April 3: Intel and TSMC allegedly reached a tentative agreement to launch a joint chipmaking venture. This joint venture would operate Intel's chipmaking facilities, and TSMC would have a 20% stake in the new venture. Both companies declined to comment or confirm. If this deal doesn't come to fruition, this is likely a decent preview of potential deals in this industry to come.

Intel spins off noncore assets, announces new initiative

April 1: CEO Lip-Bu Tan got to work right away. Just weeks after he joined Intel, the company announced that it was going to spin off noncore assets so it could focus. He also said the company would launch new products, including custom semiconductors for customers.

March

Intel names a new CEO

March 12: Intel announced that industry veteran, and former board member, Lip-Bu Tan would return to the company as CEO on March 18. At the time of his appointment, Tan said Intel would be an "engineering-focused company" under his leadership.

February

Intel's Ohio chip plant gets delayed again

February 28: Intel was supposed to start operating its first chip fabrication plant in Ohio this year. Instead, the company slowed down construction on the plant for the second time in February. Now the $28 billion semiconductor project won't wrap up construction until 2030 and may not even open until 2031.

Senators call for more chip export restrictions

February 3: U.S. senators, including Elizabeth Warren (D-Mass) and Josh Hawley (R-Mo), wrote a letter to Commerce Secretary Nominee-Designate Howard Lutnick urging the Trump administration to further restrict AI chip exports. The letter specifically referred to Nvidia's H20 AI chips, which were used in the training of DeepSeek's R1 "reasoning" model.

January

DeepSeek releases its open "reasoning" model

January 27: Chinese AI startup DeepSeek caused quite the stir in Silicon Valley when it released the open version of its R1 "reasoning" model. While this isn't semiconductor news specifically, the sheer alarm in the AI and semiconductor industries DeepSeek's release caused continues to have ripple effects on the chip industry.

Joe Biden's executive order on chip exports

January 13: With just a week left in office, former president Joe Biden proposed sweeping new export restrictions on U.S.-made AI chips. This order created a three-tier structure that determined how many U.S. chips can be exported to each country. Under this proposal, Tier 1 countries faced no restrictions; Tier 2 countries had a chip purchase limit for the first time; and Tier 3 countries got additional restrictions.

Anthropic's Dario Amodei weighs in on chip export restrictions

January 6: Anthropic co-founder and CEO Dario Amodei co-wrote an op-ed in The Wall Street Journal endorsing existing AI chip export controls and pointing to them as a reason why China's AI market was behind the U.S.'. He also called on incoming president Donald Trump to impose further restrictions and to close loopholes that have allowed AI companies in China to still get their hands on these chips.

This story originally published May 9, 2025, and is regularly updated with new information.

Topics: AI Anthropic China chips Enterprise evergreens Hardware Intel nvidia semiconductor TSMC United States

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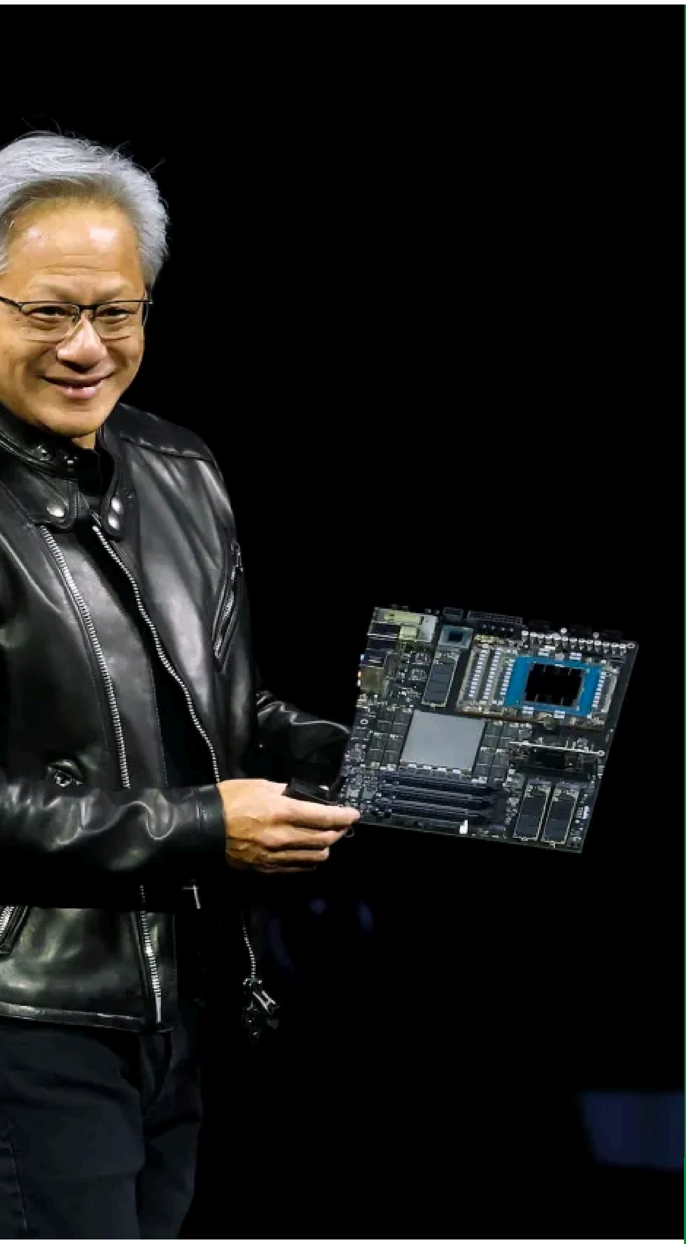

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ENTERPRISE

Nvidia H20 chip exports hit with license requirement by US government

Rebecca Szkutak 3:24 PM PDT · April 15, 2025

Semiconductor giant Nvidia is facing unexpected new U.S. export controls on its H20 chips.

In a filing Tuesday, Nvidia said it was informed by the U.S. government that it will need a license to export its H20 AI chips to China. This license will be required indefinitely, according to the filing — the U.S. government cited "risk that the [H20] may be used in ... a supercomputer in China."

Nvidia anticipates $5.5 billion in related charges in its Q1 2026 fiscal year, which ends April 27. The company's stock was down around 6% in extended trading.

The H20 is the most advanced AI chip Nvidia can export to China under the U.S.'s current and previous export rules. Last week, NPR reported that CEO Jensen Huang might have talked his way out of new H20 restrictions during a dinner at President Donald Trump's Mar-a-Lago resort, in part by committing that Nvidia would invest in AI data centers in the U.S.

Perhaps not so coincidentally, Nvidia announced on Monday that it would spend hundreds of millions of dollars over the next four years manufacturing some AI chips in the U.S. Pundits were quick to point out that the company's commitment was light on the details.

Multiple government officials had been calling for stronger export controls on the H20 because the chip was allegedly used to train models from China-based AI startup DeepSeek, including the R1 "reasoning" model that threw the U.S. AI market for a loop in January.

Nvidia declined to comment.

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